Vajpayee government failed to melt the ice in the Indo–Pak relations.

The Vajpayee government also sought to improve relations with India's neighbours Nepal, Bangladesh and Sri Lanka. With Nepal, India signed a new Transit Treaty in January 1999 and worked out matters relating to hydro-power, flood control, terrorism and extradition. Bangladesh and India expressed their commitments to further bilateral relations and a bus service was started between Dhaka and Kolkata in June 1999. With Sri Lanka, India signed a Free Trade Agreement in 1998.

Dr. Manmohan Singh (2004–2009) and (2009–2014): The Nuclear Deal

The BJP-led NDA government, headed by Prime Minister Atal Bihari Vajpayee completed five years of its rule in 2004 and elections to the 14th Lok Sabha was held in 2004. Congress was able to manage a majority of more than 335 members out of 543 (including external support from parties like the BSP, SP, MDMK, and the Left front) with the help of its allies and formed the post-poll alliance, which came to be known as the **United Progressive Alliance (UPA).** Dr. Manmohan Singh, who had previously served as the Finance Minister in the Narasimha Rao Cabinet in the early 1990s, became the Prime Minister.

Manmohan Singh's foreign policy posture marked a continuity rather than a change, except that he sped up the process of improving relations with the United States, China and Pakistan and India's neighbours. In case of Nepal there were a few problems because Nepal was suffering from Maoist insurgency and political instability.

The most remarkable breakthrough that Manmohan Singh's Government was able to make was the Nuclear Deal with the United States. The process started with Dr. Singh's assumption of office and met its culmination in October 2008 when the final nuclear deal was signed between the two countries. Earlier on 18 July 2005, India and the United States signed the landmark Civilian Nuclear Agreement in Washington DC. Next on 2 March 2006, a Separation Plan was initiated by India and the United States which listed out which reactors would New Delhi put under safeguards. On 18 December